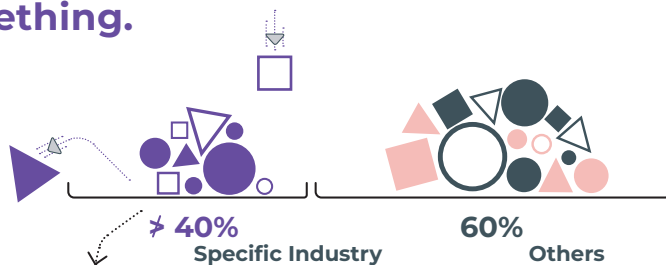


We'll always make sure our portfolio is properly diversified. Consider it whenever you buy or sell something.



Even though a company and its performance is excellent, we will not add it in our portfolio if 40% of our investments are already allocated in that sector.

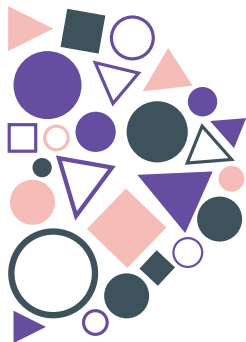
If we still want to add that particular company, we must essentially sell some companies from the same industry

The total returns from the portfolio matters rather than individual stock returns.

Ideal expectations from a portfolio:

In order to manage our portfolio we must act with discipline, consistency and patience.

Assume that our portfolio comprises of 20 companies.



Approximately 5 companies will generate majority returns. Thus we can expect that 25–30% of your portfolio will be profitable.



30–35% of our portfolio will simply return the amount that was initially invested. If we have purchased 6–8 companies at Rs 100, we might be selling them 2 years later for Rs 100 itself.



The remaining 6–7 companies, which comprise 30–35% of our portfolio will incur losses.

